

Esso Petroleum Company, Limited
(Reg. No. 26538)

DIRECTORS

Mr A L Condray (Chairman) - Resigned 31 December 2002
Mr A P Swiger (Chairman) - Appointed 1 January 2003
Mr M S Giblin (Executive Director Finance)
Mr A M F Todd (Executive Director Fuels Marketing)
Mr D Carr (Executive Director Logistics & Refining) - Resigned 10 March 2003
Mr T G Katinas (Executive Director Logistics & Refining) - Appointed 10 March 2003

SECRETARY

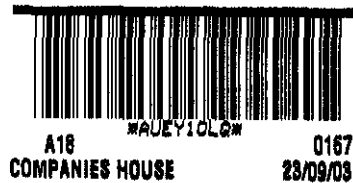
Mr J N Boydell

REGISTERED OFFICE

ExxonMobil House
Emryn Way
Leatherhead
Surrey KT22 8UX

AUDITORS

PricewaterhouseCoopers LLP
1 Embankment Place
London WC2N 6RH



Esso Petroleum Company, Limited

REPORT OF THE DIRECTORS

for the year ended 31 December 2002

The Directors present their annual report and the audited accounts for the year ended 31 December 2002.

DIRECTORS

The Directors who held office during the year and to the date of this Report are listed on page 1.

DIRECTORS' INTERESTS

During the year and in the period to the date of this report none of the Directors had any interests in shares of any Exxon Mobil Corporation group undertakings ("the Group") such as would be required to be disclosed in accordance with the provisions of Schedule 7 of the Companies Act 1985.

REVIEW OF THE BUSINESS

The principal activities of Esso Petroleum Company, Limited ("the Company") are the refining, distribution and marketing of petroleum products in the United Kingdom. The principal subsidiaries of the Company at 31 December 2002 are listed in note 11 to the accounts.

During 2002, operating conditions continued to be intensely competitive, with downward pressure on both pump prices and refining margins. Although there was an improvement on prior year results, market pressures led to continued financial losses during the period.

The Company continued to meet the changing and wide ranging demands of its customers, whilst operating to the highest standards of operational integrity.

FUTURE DEVELOPMENTS

The Company intends to remain a major refiner and marketer of petroleum products in the United Kingdom.

RESULTS AND DIVIDENDS

Net loss for the year was £79.1 million (Restated 2001: £165.4 million loss) and £79.1 million was transferred from reserves (Restated 2001: £165.4 million was transferred from reserves).

No dividends were paid during the year.

DONATIONS

During 2002 the Company made total donations and other support to the community of £699,389 (2001: £995,761). Of this, charitable donations amounted to £288,277 (2001: £227,758). There were no political donations.

RESEARCH AND DEVELOPMENT

The Company is able to call on the extensive research and development resources of its ultimate holding company, Exxon Mobil Corporation. This includes research into automotive and aviation fuels and engine lubricants, and a comprehensive technical support service, covering crude oils, industrial fuels and lubricants, bitumens and greases. Research and guidance on environmental matters is also provided.

ENVIRONMENTAL POLICY

The Company has a policy to ensure that it conducts its business in a manner that is compatible with the balanced environmental and economic needs of the community. Further, it is the Group's policy to comply with all applicable environmental laws and regulations and apply responsible standards where laws and regulations do not exist.

REPORT OF THE DIRECTORS

for the year ended 31 December 2002

HEALTH AND SAFETY

The Company's policy is to conduct its business in a manner that protects the safety of the employees, others involved in its operations, customers and the public. The Company will strive to prevent all accidents, injuries and occupational illnesses through the active participation of every employee. The Company is committed to continuous efforts to identify and eliminate or manage health and safety risks associated with its

Each year a Fawley community report is produced jointly by Esso Petroleum Company, Limited and ExxonMobil Chemical Limited. The report includes information on the safety, health and environmental performance of the refinery and chemicals manufacturing plant at Fawley. A copy of the report is available on request from the Public Affairs department, EMCL, Cadland Road, Hythe, Southampton SO45 3NP.

The Company's key principles and commitments in the areas of safety, health and the environment, among others, are consistent with those of its ultimate holding company, Exxon Mobil Corporation. In May 2002, Exxon Mobil Corporation published a report on its key principles and commitments entitled "Corporate Citizenship in a Changing World". At the end of 2002, Esso UK published a brochure, "Corporate Citizenship in the UK & Ireland", providing examples of what these principles and commitments mean for the ExxonMobil subsidiary companies in the UK and Ireland. Copies of these publications can be obtained by writing to: ExxonMobil Information Services, PO Box 94, Aldershot, Hampshire GU12 4GJ. Alternatively, they can be viewed on www.exxonmobil.co.uk on the publications page of the news room.

EMPLOYMENT POLICY

The Company is an equal opportunity employer and complies with all relevant legislation. It pays particular attention to measures which will encourage the employment and career development of both women and ethnic minorities.

The Company's policy is also to ensure that equal opportunities, including training, career development and promotion exist for disabled persons and employees who have become disabled while employed by the Company, having regard to their particular circumstances.

EMPLOYEE INVOLVEMENT

The Company has established over many years a comprehensive programme of employee communication and consultation. The Directors are committed to the continued involvement of employees in this way as an essential element in the Company remaining efficient and competitive. It is an integral part of management's responsibility to ensure that all employees understand the Company's objectives and the contribution that each individual can make to the achievement of those objectives.

AUDITORS

Following the conversion of our auditors PricewaterhouseCoopers to a Limited Liability Partnership (LLP) from 1 January 2003, PricewaterhouseCoopers resigned on 7 April 2003 and the directors appointed its successor, PricewaterhouseCoopers LLP, as auditors. A resolution to reappoint PricewaterhouseCoopers LLP as auditors to the company will be proposed at the annual general meeting.

Esso Petroleum Company, Limited

REPORT OF THE DIRECTORS

for the year ended 31 December 2002

STATEMENT OF DIRECTORS' RESPONSIBILITIES

Company law requires the Directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

The Directors are required to prepare financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors confirm that suitable accounting policies have been used and applied consistently. They also confirm that reasonable and prudent judgements and estimates have been made in preparing the financial statements for the year ended 31 December 2002 and that applicable Accounting Standards have been followed.

The Directors are responsible for keeping proper accounting records that disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By Order of the Board,



Secretary J N Boydell

15th June 2003

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ESSO PETROLEUM COMPANY, LIMITED

We have audited the financial statements which comprise the profit and loss account, the statement of recognised gains and losses, the balance sheet and the related notes to the accounts. The financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain fixed assets, and the accounting policies set out in the statement of accounting policies.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

The Directors' responsibilities for preparing the Annual Report and the financial statements in accordance with applicable United Kingdom law and accounting standards are set out in the statement of Directors' responsibilities.

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements, and United Kingdom Auditing Standards issued by the Auditing Practices Board. This report, including the opinion, has been prepared for and only for the Company's members as a body in accordance with Section 235 of the Companies Act 1985 and for no other purpose. We do not, in giving this opinion, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or in to whose hands it may come save where expressly agreed by our prior consent in writing.

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985. We also report to you if, in our opinion, the Directors' report is not consistent with the financial statements, if the Company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding Directors' remuneration and transactions is not disclosed.

We read the other information contained in the annual report and consider the implications for our report if we become aware of any apparent misstatements or material inconsistencies with the financial statements. The other information comprises only the Directors' report.

BASIS OF AUDIT OPINION

We conducted our audit in accordance with auditing standards issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the Directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the Company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

OPINION

In our opinion the financial statements give a true and fair view of the state of affairs of the Company at 31 December 2002 and of the loss for the year then ended and have been properly prepared in accordance with the Companies Act 1985.



PricewaterhouseCoopers LLP
Chartered Accountants and Registered Auditors
1 Embankment Place
London WC2N 6RH

19 June 2003

Esso Petroleum Company, Limited

PROFIT AND LOSS ACCOUNT

for the year ended 31 December 2002

	Note	2002 £m	2001 Restated £m
Continuing operations:			
Turnover		8,803.1	9,242.2
Excise duties and VAT		(5,565.6)	(5,617.0)
Net turnover	2	3,237.5	3,625.2
Cost of sales		(2,944.1)	(3,365.6)
Gross profit		293.4	259.6
Distribution costs		(289.8)	(307.6)
Administrative expenses		(67.6)	(87.9)
OPERATING LOSS		(64.0)	(135.9)
Income from shares in group undertakings		6.1	6.4
Income from fixed asset investments		0.6	0.7
Interest receivable and similar income	6	2.9	14.9
Interest payable and similar charges	7	(39.2)	(60.4)
LOSS ON ORDINARY ACTIVITIES BEFORE TAXATION	3	(93.6)	(174.3)
Taxation on loss on ordinary activities	8	14.5	8.9
LOSS FOR THE FINANCIAL YEAR		(79.1)	(165.4)
AMOUNTS RELEASED FROM RESERVES	19	(79.1)	(165.4)

The notes on pages 9 to 18 form part of the financial statements.

There is no material difference between the reported loss on ordinary activities before taxation and the historical cost loss on ordinary activities before taxation for the Company.

Esso Petroleum Company, Limited

STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES

for the year ended 31 December 2002

	Note	2002 £m	2001 Restated £m
Loss for the financial year		(79.1)	(165.4)
TOTAL RECOGNISED LOSSES FOR THE YEAR		(79.1)	(165.4)
Prior year adjustment	18	(137.6)	
TOTAL LOSSES RECOGNISED SINCE LAST ANNUAL REPORT		(216.7)	

The notes on pages 9 to 18 form part of the financial statements.

Esso Petroleum Company, Limited

BALANCE SHEET

as at 31 December 2002

	Note	2002 £m	2001 Restated £m
FIXED ASSETS			
Intangible assets	9	7.3	7.8
Tangible assets	10	1,275.6	1,337.2
Investments	11	23.2	23.2
TOTAL FIXED ASSETS		1,306.1	1,368.2
CURRENT ASSETS			
Stocks	12	336.9	323.9
Debtors falling due within one year	13	548.5	693.2
Debtors falling due after more than one year	13	119.9	123.3
Cash at bank and in hand		30.2	7.3
TOTAL CURRENT ASSETS		1,035.5	1,147.7
CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR	14	(752.6)	(1,168.9)
NET CURRENT ASSETS		282.9	(21.2)
TOTAL ASSETS LESS CURRENT LIABILITIES		1,589.0	1,347.0
CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR	14	(727.9)	(739.9)
PROVISIONS FOR LIABILITIES AND CHARGES	16	(133.3)	(145.2)
NET ASSETS		727.8	461.9
CAPITAL AND RESERVES			
Called up share capital	17	573.4	228.4
Revaluation reserve	18	186.0	186.0
Capital reserve	18	3.3	3.3
Profit and loss account	18	(34.9)	44.2
TOTAL SHAREHOLDER'S FUNDS	19	727.8	461.9

The notes on pages 9 to 18 form part of the financial statements.

These accounts were approved by the Board on
19th June 2003

Director



M.S. GIBLIN

NOTES TO THE ACCOUNTS

for the year ended 31 December 2002

1 ACCOUNTING POLICIES

These financial statements have been prepared in accordance with the Companies Act 1985 and applicable Accounting Standards in the United Kingdom and are based upon the historical cost convention, except where noted below with regard to fixed assets.

CHANGES IN ACCOUNTING POLICIES

In December 2000 the Accounting Standards Board issued FRS 19, 'deferred tax'. The company has adopted FRS19 deferred tax in the financial statements. The adoption of this new standard represents a change in accounting policy and the comparative figures have been restated accordingly.

The effect of the change in accounting policy to adopt FRS19 was to decrease tax on loss on ordinary activities by £14.0m (2001 £8.7m) and to decrease loss for the financial year by £14.0m (2001 £8.7m).

CONSOLIDATED ACCOUNTS

The Company is a wholly-owned subsidiary of, and is included in the consolidated financial statements of Esso UK Limited, which is incorporated in England and Wales. The Company has taken advantage of the exemption from preparing group accounts under FRS 2, Accounting for Subsidiary Undertakings.

CASH FLOW STATEMENT

The Company is a wholly-owned subsidiary of Esso UK Limited and is included in the consolidated financial statements of Exxon Mobil Corporation, which are publicly available. Consequently, the Company has taken advantage of the exemption from preparing a cash flow statement under the terms of FRS1 (revised 1996).

TURNOVER

Turnover is net of excise duty and VAT and is derived from the processing and sale of crude oil, natural gas, petroleum products and related goods and services, and is recognised on transfer of legal title.

FOREIGN CURRENCIES

Monetary assets and liabilities denominated in foreign currencies are translated at rates prevailing at the year end. Foreign currency transactions are translated at the rate ruling at the date of the transaction. Foreign currency translation differences are included in the appropriate profit and loss account categories.

FIXED ASSETS

Fixed assets are stated at cost except in the case of retail site land which is revalued periodically. Retail site land assets are revalued on a 5 yearly basis by a member of the Royal Institute of Chartered Surveyors with an internal review of the valuation made on an interim basis. An annual review is undertaken where there is evidence of a significant change in the revaluation.

Assets held under leases which transfer substantially all the benefits and risks of ownership to the lessee (finance leases) are included at a cost equivalent to the net present value of the lease payments. Purchased goodwill and software licenses are shown as intangible assets. All other fixed assets are considered to be tangible.

Premiums paid on operating leases for land and buildings have been capitalised and included within land and buildings.

Depreciation and amortisation are charged to reduce the cost of each group of assets to its residual value over its expected useful life.

All assets are depreciated or amortised by equal annual instalments as follows:

Buildings:	3.3% to 4% per annum
Plant and Equipment:	3.3% to 20% per annum
Leasehold land:	0.5% to 6.66% per annum

Assets under construction and freehold land are not depreciated.

NOTES TO THE ACCOUNTS

for the year ended 31 December 2002 (continued)

1 ACCOUNTING POLICIES (continued)

GOODWILL

Goodwill arising on acquisitions of businesses and recorded in the balance sheet is amortised through the profit and loss account. The Company amortises such purchased goodwill by equal annual instalments over the purchased goodwill's expected useful life, using rates between 5 and 10 per cent per annum.

STOCKS

Stocks are stated at the lower of cost and net realisable value. Cost is calculated using the first-in-first-out method, including an appropriate proportion of overheads.

DEFERRED TAXATION

Provision for deferred tax is made in accordance with FRS19. Full provision is made for deferred tax liabilities net of deferred tax assets arising from timing differences between the recognition of gains and losses in the financial statements, and their recognition for tax purposes.

Deferred tax liabilities and assets are discounted.

OPERATING LEASES

Operating lease payments are charged to the profit and loss account in the period to which they relate.

PENSION COSTS

The Company operates a defined benefit pension plan, the assets of which are held in a separate trustee administered fund. The pension cost is charged to the profit and loss account so as to spread the cost over the service lives of the employees. Experience variations are spread over the average remaining service lives of current employees. The pension cost is assessed in accordance with the advice of qualified actuaries, and full actuarial valuations are carried out every 3 years.

RESEARCH AND DEVELOPMENT EXPENDITURE

Research and development expenditure is charged to income as incurred.

2 SEGMENTAL ANALYSIS

The Company's activities consist solely of the processing and sale of crude oil, natural gas, petroleum products and related goods and services, and is recognised on transfer of legal title.

NET TURNOVER BY DESTINATION	2002	2001
	£m	£m
United Kingdom	2,726.0	3,224.8
Europe	364.9	353.9
Rest of the World	146.6	46.5
TOTAL	3,237.5	3,625.2

The Company's turnover and loss before tax is all related to the oil and gas business and is all derived in the United Kingdom.

Esso Petroleum Company, Limited

NOTES TO THE ACCOUNTS

for the year ended 31 December 2002 (continued)

3 LOSS ON ORDINARY ACTIVITIES

BEFORE TAXATION

	2002	2001
	£m	£m
This is stated after charging the following amounts:		
Auditors' remuneration - audit fees	0.2	0.2
Operating leases - other	17.4	19.1
Depreciation & amortisation - owned assets	79.5	77.9
Research and development	5.3	8.6
Wages and salaries	99.2	105.2
Social security costs	14.5	12.0
Other pension costs (see note 23)	66.4	29.1

4 DIRECTORS' EMOLUMENTS

	2002	2001
	£000	£000
DIRECTORS EMOLUMENTS - AGGREGATE		
Pre-tax emoluments, excluding pension contributions	626	676
Company pension contributions to money purchase schemes	6	6
Amounts (excluding shares) receivable under long term incentive schemes	69	83

2 Directors (2001: 2), not including the highest paid Director, exercised share options in the year and 4 Directors (2001: 5), including the highest paid Director, became entitled to receive shares under long term incentive schemes.

Retirement benefits are accruing to 4 Directors, including the highest paid Director (2001: 3) under a defined benefit scheme, and 2 Directors, including the highest paid Director (2001: 4) under a money purchase scheme.

	2002	2001
	£000	£000
DIRECTORS EMOLUMENTS - HIGHEST PAID DIRECTOR		
Pre-tax emoluments, excluding pension contributions	242	165
Company pension contributions to money purchase schemes	5	0
Defined benefit pension scheme: accrued pension at year end	45	81
Amounts (excluding shares) receivable under long term incentive schemes	18	24

5 EMPLOYEES

The average number of persons employed during the year was:

	2002	2001
Marketing, Refining and Transportation	2,542	2,574
Upstream	634	604
TOTAL	3,176	3,178

The above numbers include employees seconded to other Group Companies as follows:

	2002	2001
Assigned to other ExxonMobil downstream group undertakings	578	520
Assigned to other ExxonMobil upstream group undertakings	634	604
TOTAL	1,212	1,124

6 INTEREST RECEIVABLE AND SIMILAR INCOME

	2002	2001
	£m	£m
Amounts receivable from other ExxonMobil group undertakings	2.1	13.7
Other	0.8	1.2
TOTAL	2.9	14.9

Esso Petroleum Company, Limited

NOTES TO THE ACCOUNTS
for the year ended 31 December 2002 (continued)

7 INTEREST PAYABLE AND SIMILAR CHARGES	2002	2001
	£m	£m
Amounts payable to other ExxonMobil group undertakings	38.7	60.0
Interest payable on bank and other borrowings:		
- wholly repayable within five years	0.5	0.4
TOTAL	39.2	60.4

8 TAXATION ON LOSS ON ORDINARY ACTIVITIES	2002	2001
	£m	Restated £m
CURRENT TAX		
Current year	0.0	0.0
Prior years	(0.5)	(0.2)
TOTAL CURRENT TAX	(0.5)	(0.2)
DEFERRED TAX		
Origination and reversal of timing differences	(14.0)	(8.7)
TOTAL DEFERRED TAX	(14.0)	(8.7)
TAXATION ON LOSS ON ORDINARY ACTIVITIES	(14.5)	(8.9)

Corporation tax has been calculated at 30% on the taxable (loss)/profit for the year (2001: 30%) and will be subject to group relief.

FACTORS AFFECTING TAX CHARGE FOR THE PERIOD:	2002	2001
	£m	Restated £m
Loss on ordinary activities before tax	(93.6)	(174.3)
Profit on ordinary activities multiplied by standard rate of corporation tax in the UK of 30% (2001: 30%)	(28.1)	(52.3)
Effects of:		
Depreciation for period in excess of capital allowances	10.9	15.2
Group relief surrendered for nil consideration	11.8	33.0
Adjustments to tax charge in respect of previous periods	(0.5)	(0.2)
Other items	5.4	4.1
Current Tax Charge for the Period	(0.5)	(0.2)

9 INTANGIBLE ASSETS	Goodwill	Other	Total
	£m	£m	£m
COST			
Balance at 1 January 2002	9.6	6.0	15.6
Additions	0.0	0.3	0.3
Disposals	0.0	(0.5)	(0.5)
BALANCE AT 31 DECEMBER 2002	9.6	5.8	15.4
AMORTISATION			
Balance at 1 January 2002	2.6	5.2	7.8
Charge for year	0.5	0.3	0.8
Disposals	0.0	(0.5)	(0.5)
BALANCE AT 31 DECEMBER 2002	3.1	5.0	8.1
NET BOOK VALUE AT 31 DECEMBER 2002	6.5	0.8	7.3
NET BOOK VALUE AT 31 DECEMBER 2001	7.0	0.8	7.8

Esso Petroleum Company, Limited

NOTES TO THE ACCOUNTS
for the year ended 31 December 2002 (continued)

10 TANGIBLE ASSETS

	Land & Buildings £m	Plant & Equipment £m	Assets Under Construction £m	Total £m
COST OR VALUATION				
Balance at 1 January 2002	732.4	1,441.8	107.9	2,282.1
Additions	0.0	4.0	40.4	44.4
Disposals	(12.9)	(67.1)	0.0	(80.0)
Transfers	8.7	108.9	(117.6)	0.0
BALANCE AT 31 DECEMBER 2002	728.2	1,487.6	30.7	2,246.5
DEPRECIATION				
Balance at 1 January 2002	153.3	791.6	0.0	944.9
Charge for year	13.2	65.5	0.0	78.7
Disposals	(7.4)	(45.3)	0.0	(52.7)
BALANCE AT 31 DECEMBER 2002	159.1	811.8	0.0	970.9
NET BOOK VALUE AT 31 DECEMBER 2002	569.1	675.8	30.7	1,275.6
NET BOOK VALUE AT 31 DECEMBER 2001	579.1	650.2	107.9	1,337.2

As at 31 December 1999 certain assets with a historical cost of £165 million were revalued by a member of the Royal Institute of Chartered Surveyors employed by Esso Petroleum Company, Limited to a total open market value, for existing use, of £351 million.

The directors are not aware of any significant diminution in value of the revalued assets.

The net book value of land and buildings comprises:

	2002 £m	2001 £m
Freehold	529.5	534.1
Long leasehold	11.6	24.0
Short leasehold	28.0	21.0
TOTAL	569.1	579.1

11 INVESTMENTS

	2002 £m	2001 £m
SHARES IN SUBSIDIARY UNDERTAKINGS AND INVESTMENTS		
Balance at 1 January 2002	23.2	26.1
Disposals	0.0	(2.9)
BALANCE AT 31 DECEMBER 2002	23.2	23.2

Details of the principal companies in which the Company holds 20% or more of any class of equity share capital or 20% or more of the total allotted share capital as at 31 December 2002 are given below:

NAME OF COMPANY	Class of Shares	Proportion of Shares & Voting Rights
SUBSIDIARY UNDERTAKINGS		
Cleveland Petroleum Company Limited	Ordinary	100%
Comma Oil & Chemicals Limited	Ordinary	100%
Esso Marine U.K. Limited	Ordinary	100%
ExxonMobil Pension Trust Limited	Ordinary	100%
Mainline Pipelines Limited	Ordinary	65%
Mode Wheel Property Limited	Ordinary	100%
Redline Oil Services Limited	Ordinary	100%
Retail Petroleum Services Limited	Ordinary	100%
ASSOCIATED UNDERTAKINGS		
Gatwick Airport Storage and Hydrant Company Ltd	Ordinary	25%
Heathrow Hydrant Company Ltd	Ordinary	20%
Heathrow Hydrant Operating Company Ltd	Ordinary	20%
Heathrow Refueling Service Company Limited	Ordinary	35%
Manchester Airport Storage and Hydrant Company Limited	Ordinary	25%
Stanstead Fuelling Company Ltd	Ordinary	29%

Esso Petroleum Company, Limited

NOTES TO THE ACCOUNTS
for the year ended 31 December 2002 (continued)

All the companies operate in the United Kingdom, are registered in England and Wales and have principal activities related to the oil and gas business, except Cleveland Petroleum Company Limited which was dormant during the year.

On 29 August 2002 Mode Wheel Property Company Limited, a 100% subsidiary of the Company, was placed in Members' Voluntary Liquidation. The liquidation was finalised at the final shareholder meeting on 2 May 2003 and has resulted in no material loss to Esso Petroleum Company, Limited.

12 STOCKS	2002	2001
	£m	£m
Raw materials and consumables	75.0	56.7
Work in progress	41.6	45.2
Finished goods and goods for resale	220.3	222.0
TOTAL	336.9	323.9

The replacement cost of all categories of stocks held by the Company at 31 December 2002 was £343.3 million (2001: £313.3 million).

13 DEBTORS	2002	2001
	£m	£m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Trade debtors	336.2	370.4
Amounts owed by other ExxonMobil group undertakings	140.0	250.7
Amounts owed by subsidiary undertakings	9.3	8.7
Other debtors	31.6	26.2
Prepayments and accrued income	31.4	37.2
TOTAL	548.5	693.2
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Other debtors	13.3	25.9
Prepayments and accrued income	106.6	97.4
TOTAL	119.9	123.3

The 2001 amounts include a reclassification of £9.4m from Trade debtors to Other debtors falling due within 1 year.

14 CREDITORS	2002	2001
	£m	£m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Bank loans and overdrafts	2.3	4.6
Trade creditors	114.9	155.7
Amounts owed to other ExxonMobil group undertakings	274.6	653.8
Amounts owed to subsidiary undertakings	14.9	38.6
Taxation and social security	269.6	236.8
Other creditors	1.1	6.2
Accruals and deferred income	75.2	73.2
TOTAL	752.6	1,168.9
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Long and medium term loans (see note 15)	700.0	700.0
Accruals and deferred income	27.9	39.9
TOTAL	727.9	739.9

15 LONG AND MEDIUM TERM LOANS	2002	2001
	£m	£m
Amounts owed to other ExxonMobil group undertakings		
Repayable over 5 years	700.0	700.0
TOTAL	700.0	700.0

Amounts owed to other ExxonMobil group undertakings are repayable other than by instalments and comprise two loans. One for £300.0m (2001: £300.0m) that bears interest at a rate of 3 month LIBOR + 0.0625% (2001: LIBOR + 0.0625%), and another for £400.0m (2001: £400.0m) that bears interest at a rate of LIBOR + 0.125% (2001: LIBOR + 0.125%).

NOTES TO THE ACCOUNTS for the year ended 31 December 2002 (continued)

16 PROVISIONS FOR LIABILITIES AND CHARGES

	Deferred	Other	Total
	tax		
	£m	£m	£m
Balance at 1 January 2002 as previously stated	0.0	7.6	7.6
Prior year adjustment (note 18)	137.6	0.0	137.6
Balance at 1 January 2002 restated	137.6	7.6	145.2
Utilised during the year	0.1	(1.5)	(1.4)
Charge/(credit) to the profit and loss account	(14.0)	3.5	(10.5)
BALANCE AT 31 DECEMBER 2002	123.7	9.6	133.3

	2002	2001
	£m	Restated £m
PROVISION FOR DEFERRED TAX		
Capital allowances in excess of depreciation	118.5	129.4
Other timing differences	5.2	8.2
TOTAL	123.7	137.6

Other provisions primarily relate to the cost of closure and remediation of sites closed prior to 31 December 2002. A provision of £7.3 m (2001: £7.6m) has been recognised in relation to these costs, which are expected to be incurred within the next 5 years.

17 CALLED UP SHARE CAPITAL

	2002	2001
	£	£
Authorised: ordinary shares of £1 each	729,000,000	229,000,000
Allotted and fully paid: ordinary shares of £1 each	573,385,200	228,385,200

During the year 345,000,000 ordinary redeemable shares were issued for cash. The nominal value of these shares was £345,000,000 and the consideration received was £345,000,000.

18 RESERVES

	2002
	£m
PROFIT AND LOSS ACCOUNT	
Balance at 1 January as previously stated	181.8
Prior year adjustment	(137.6)
Balance at 1 January restated	44.2
Amounts transferred (from)/to reserves	(79.1)
BALANCE AT 31 DECEMBER	(34.9)

	£m
ANALYSIS OF PRIOR YEAR ADJUSTMENT	
Adjustment to opening reserve at 1 January 2001	(146.3)
Adjustment to profit and loss for the year ended 31 December 2001	8.7
	(137.6)

	2002	2001
	£m	£m
REVALUATION RESERVE		
BALANCE AT 1 JANUARY AND 31 DECEMBER 2002	186.0	186.0

	2002	2001
	£m	£m
CAPITAL RESERVE		
BALANCE AT 1 JANUARY AND 31 DECEMBER	3.3	3.3

Esso Petroleum Company, Limited

NOTES TO THE ACCOUNTS
for the year ended 31 December 2002 (continued)

19 RECONCILIATION OF MOVEMENT IN SHAREHOLDER'S FUNDS

	2002	2001 Restated
	£m	£m
(Loss)/Profit for the year	(79.1)	(165.4)
New share capital issued	345.0	0.0
Net (deductions)/addition to shareholder's funds	265.9	(165.4)
Opening shareholder's funds as previously reported	599.5	773.6
Prior year adjustment (note 18)	(137.6)	(146.3)
Opening shareholder's funds as restated	461.9	627.3
CLOSING SHAREHOLDER'S FUNDS	727.8	461.9

20 CAPITAL COMMITMENTS

	2002	2001
	£m	£m
Estimated commitments under contracts for capital expenditure not provided for in these accounts amounted to	11.7	17.8
TOTAL	11.7	17.8

21 COMMITMENTS UNDER OPERATING LEASES

	2002	2001
	Land & Buildings	Land & Buildings
	£m	£m
At 31 December the Company had annual commitments under non cancelable operating leases expiring as follows:		
- within one year	0.5	0.8
- in one to five years	1.1	0.9
- after five years	12.3	13.7
TOTAL	13.9	15.4

22 CONTINGENT LIABILITIES

	2002	2001
	£m	£m
Guarantees	0.8	4.7

The Company has given guarantees in respect of the house sale guarantee scheme for relocating employees. This involves guaranteeing the sale of the property at market value for employees who are relocating.

The Company is involved in Group Litigation legal proceedings in the Commercial Court against a number of former retail licensees. The trial has finished, pending judgement, and the Company does not consider that any provision in respect of the outcome of the case is needed.

23 PENSIONS

The Company is the major member of a funded defined benefit pension scheme in the UK. At the beginning of 2002, the market value of the Company's share of the assets of the fund was £1,435 million (2001: £1,119.6 million). The Actuaries are independent of the Company and their latest full actuarial valuation was carried out in 2002 on plan assets and liabilities as at 31 December 2001. Assets were valued using the Market Value based approach and liabilities were valued using the Projected Unit method. The valuation assumed that the investment returns would be 3.0% higher than salary growth. Allowance was made for Limited Price Indexing pension increases of 2.5%. The actuarial valuation showed that the assets were sufficient to cover 97% of the benefits that had accrued to members, after allowing for future increases in salaries.

Employer contributions to the fund were £97.1 million (2001: £26.2 million). This included an additional £52 million to eliminate the deficit shown at the last valuation date.

Pension costs for 2002 were £66.4 million (2001: £29.1 million). This increase is mainly due to the fall in the value of the assets during 2001. A prepayment of £75.6 million (2001: £45.0 million) in respect of pension costs is included in debtors. The increase in the prepayment is mainly due to the additional contribution to the fund in the year to offset the deficit shown at the last valuation. SSAP24 requires the deficit to be spread over the future working life of the active scheme members, to the extent not already disclosed in the balance sheet.

Esso Petroleum Company, Limited

NOTES TO THE ACCOUNTS
for the year ended 31 December 2002 (continued)

ADDITIONAL DISCLOSURES FOR FRS17

The last full valuation of the liabilities of the pension fund was conducted as at 31 December 2001. This has been updated by an independent, qualified actuary to 31 December 2002, using a market valuation. Liabilities are estimated using the projected unit method as advised by actuaries.

The major assumptions used were:

	2002	2001
Rate of increase in salaries	4.00%	4.00%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (pre April 97)	0.00%	0.00%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (post April 97)	2.50%	2.50%
Discount rate	5.50%	6.25%
Inflation assumption	2.50%	2.50%

The assets in the scheme and the expected rates of return were:

	Expected long term rate of return at 31/12/2002	Value at 31/12/2002 £m	Expected long term rate of return at 31/12/2001	Value at 31/12/2001 £m
Equities	8.00%	897.5	7.25%	1,087.3
Bonds	4.75%	330.8	4.50%	342.9
Cash & Other	0.00%	(5.6)	0.00%	4.4
Total		1,222.7		1,434.6

Balance sheet asset/(liability) as at:

	31/12/2002 £m	31/12/2001 £m
Total market value of assets	1,222.7	1,434.6
Actuarial liabilities	(1,860.5)	(1,512.5)
Deficit	(637.8)	(77.9)
Irrecoverable surplus	0.0	0.0
Recoverable surplus	0.0	0.0
Pension liability	(637.8)	(77.9)
Related deferred tax asset	202.4	23.4
Net pension liability	(435.4)	(54.5)

The following amounts would have been recognised in the performance statements in the year to 31 December 2002 under the requirements of FRS17

Components of pension cost for the year ended

	31/12/2002 £m
Current service cost	(25.9)
Past service cost	(18.3)
Total charge to operating profit	(44.2)
Expected return on assets	93.5
Interest cost	(92.7)
Total amount charged to financing provisions	0.8

Amounts to be recognised in the Statement of Total Recognised Gains and Losses ("STRGL").

	31/12/2002 £m
Actual return in excess of expected	(309.5)
Experience gains/(losses)	(75.8)
Change in actuarial assumptions	(228.3)
Actuarial gain or (loss) in STRGL	(613.6)

NOTES TO THE ACCOUNTS

for the year ended 31 December 2002 (continued)

23 PENSIONS (continued)**History of experience gains and losses for the year ended 31 December 2002:****Difference between expected and actual return on scheme assets**

Amount (£million)	(309.5)
Percentage of scheme assets	25.3%

Experience gains and losses on scheme liabilities

Amount (£million)	(75.8)
Percentage of the present value of scheme liabilities	4.1%

Total amount to be recognised in STRGL

Amount (£million)	(613.6)
Percentage of the present value of scheme liabilities	33.0%

If the above amounts had been recognised in the financial statements, the Company's net assets and profit and loss reserve at 31 December 2001 and 31 December 2002 would be as follows:

	31/12/2002	31/12/2001
	£m	£m
Net Assets excluding pension asset/(liability)	661.7	548.1
Net pension (liability)	(435.4)	(54.5)
Net assets including net pension (liability)	226.3	493.6
Profit and loss reserve excluding pension asset/(liability)	(101.0)	130.4
Pension reserve	(435.4)	(54.5)
Profit and loss reserve	(536.4)	75.9

24 POST BALANCE SHEET EVENTS

On 2 May 2003 the final shareholders meeting on Mode Wheel was held and the liquidation was finalised.

On 27 February 2003 Cleveland Petroleum Company Limited, a 100% subsidiary of the Company was placed in voluntary liquidation. The transaction was performed at no gain or loss for Esso Petroleum Company, Limited.

On 6th January 2002 the Company purchased 100% of the share capital of Walkready Limited, which had an allotted share capital of 1 ordinary share of £1. On 15th January 2003, Walkready Limited changed its name to ROC UK Limited, and allotted a further 999 ordinary shares of £1 each to the Company.

25 RELATED PARTY BALANCES

Esso Petroleum Company, Limited is a 100% subsidiary within the Exxon Mobil Corporation Group and, therefore, utilises the exemption contained in paragraph 3 (c) of FRS 8 Related Party Disclosures not to disclose any transactions with any entities that are part of that group. The address at which the Exxon Mobil Corporation consolidated financial statements are publicly available is detailed in note 26.

At 31 December 2002 the Company had lease deposits outstanding from third parties on behalf of the directors A Condray: £7,000 (2001: £13,500), S Spancake (resigned 16 August 2001): £nil (2001: £7,875) and M Giblin: £6,600 (2001: £10,920). The lease deposits are part of the employee expatriate relocation scheme. During the year the lease deposits outstanding did not exceed the higher of the brought forward and carried forward amounts disclosed above.

26 ULTIMATE HOLDING COMPANY

The immediate holding company is Esso UK Limited. The ultimate holding company and controlling party is Exxon Mobil Corporation, incorporated in New Jersey, USA. Exxon Mobil Corporation is listed on the New York Stock Exchange and its shares are widely dispersed. The smallest group of which the Company is a member and for which group accounts are prepared is Esso UK Limited. Accounts can be obtained from the Public Affairs Department, ExxonMobil House, Ermyrn Way, Leatherhead, Surrey KT22 8UX. The largest group of which the Company is a member and for which group accounts are prepared is Exxon Mobil Corporation. Accounts can be obtained from Exxon Mobil Corporation, Shareholder Relations, Post Office Box 140369, Irving, Texas 75014 - 0369, USA.